

GROUND LEASE

THIS GROUND LEASE (the “**Lease**”) is made and entered into this ____ day of _____, 2026 (the “**Effective Date**”), by and between FIRST & UNION APARTMENTS, LP, a Utah Limited Partnership (“**First & Union**”); and the CITY OF CHEYENNE, a Wyoming municipal corporation (the “**City**”); and is based on the following:

RECITALS:

A. First & Union is organized under the laws of the State of Utah and is engaged in developing Affordable Housing utilizing the Section 42 (LIHTC) program.

B. The City owns real property located at approximately the northwest corner of the intersection of Converse Avenue and Carlson Street in Cheyenne, Wyoming, containing approximately 8.37 acres as more particularly described on Exhibit “B” attached hereto (the “**Property**”).

C. First & Union and the City desire to enter into a lease for the Property upon which First & Union will construct 184 units of affordable housing restricted to 60% AMI (the “**Affordable Housing Community**”).

D. First & Union and the City desire to enter into this Lease to facilitate the construction of the Affordable Housing Community on the Property.

NOW, THEREFORE, in consideration of the mutual promises hereinafter set forth, and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, First & Union and the City agree as follows:

1. Premises. The City hereby leases and lets to First & Union and First & Union hereby rents from the City the Property, the same being outlined and shown on Exhibit “A” attached hereto and by reference incorporated herein and the legal description of which is set forth on Exhibit “B” attached hereto and incorporated herein, together with all easements, rights-of-way and appurtenances in connection therewith or thereunto belonging (all of which are hereinafter referred to as the “**Premises**”).

2. Term. The term of this Lease shall commence on the Effective Date and expire fifty (50) years after the Effective Date (the “**Term**”).

3. Rent. Beginning on the date that is the earlier of: (a) the date that is two (2) years from the Effective Date; or (b) the date that the Affordable Housing Community is stabilized at 95% occupancy for a period of two (2) consecutive months, and continuing through the remainder of the Term of the Lease, First & Union shall pay to the City the amount of Four Thousand Five Hundred Twenty-One and 64/100 Dollars (\$4,521.64) per month as rent (“**Rent**”). The Rent shall be payable on or before the fifth (5th) day of each month, in advance; provided, however, that to the extent First & Union lacks sufficient free cashflow after debt service to pay all or any portion

of the Rent when due, First & Union shall provide written notice to the City not less than five (5) business days before the date such Rent is due. The notice shall state the amount of Rent First & Union is unable to pay, briefly describe the cashflow basis for the nonpayment, and include reasonably sufficient supporting documentation to verify the lack of available free cashflow after debt service. Any unpaid Rent shall not be waived, forgiven, or discharged, but shall be deferred and remain an obligation of First & Union until paid. Any deferred Rent shall accrue simple interest at a rate equal to the long-term Applicable Federal Rate, based on annual compounding, as published by the Internal Revenue Service under Section 1274(d) of the Internal Revenue Code, in effect on the original due date of the deferred Rent (the “**Interest Rate**”), from the original due date until paid. The Interest Rate on any deferred Rent payments shall increase by one percent (1%) on each anniversary of the original due date that the applicable deferred Rent was due. Notwithstanding the foregoing, the Interest Rate shall not increase above twenty percent (20%) on any amounts of deferred Rent unpaid hereunder. First & Union shall pay any deferred Rent, together with accrued interest, from available free cashflow after debt service before making any discretionary distribution, owner return, or similar payment from the Affordable Housing Community. First & Union may prepay any and all Rent amounts due hereunder without penalty. The Rent amount set forth above is based on a one-half of one percent (0.5%) carry for the City on a value of the Property of Two Million Four Hundred Thousand Dollars (\$2,400,000) amortized on a straight-line basis over fifty (50) years. City shall have the right, upon ten (10) business days’ notice and not more than once per calendar year, to audit books and records reasonably necessary to verify Free Cash Flow and compliance with this Section 3.

Notwithstanding the foregoing, all deferred Rent and accrued interest shall become immediately due and payable upon the earliest of: (a) any sale, assignment, or transfer of First & Union’s interest in this Lease or the Affordable Housing Community, other than a permitted collateral assignment or tax credit investor admission; (b) any refinancing or recapitalization of the Affordable Housing Community to the extent proceeds are legally available after payment of senior debt, required reserves, and approved transaction costs; (c) termination of this Lease; (d) transfer of the Property to First & Union; or (e) any uncured default by First & Union after expiration of applicable notice and cure periods.

4. Transfer of Property. Upon the earlier of: (a) the natural expiration or termination of the Term, provided First & Union is not then in default under this Lease; or (b) the prepayment of all Rent due by First & Union during the Term hereunder, provided that the Affordable Housing Community has been completed, placed in service, and operated in compliance with the affordability requirements of this Lease for not less than ten (10) consecutive years, the City shall transfer the Property to First & Union by Special Warranty Deed. The Special Warranty Deed for the period of 50 years to begin on the due date of the first payment shall require the Property to be used and operated as an affordable housing community consisting of one hundred eighty-four units restricted to households not earning more than sixty percent of area median income, subject to temporary reductions in available units due to casualty, repair, rehabilitation, code compliance, force majeure, or other events beyond First & Union’s reasonable control, provided that First & Union promptly commences and diligently pursues commercially reasonable efforts to restore the affected units for affordable housing use.

Upon the transfer of the Property to First & Union pursuant to this Section 4, this Lease shall automatically terminate and be of no further force or effect, except that the affordable housing use restriction shall survive the transfer and termination of this Lease for a period of not less than 50 years, shall be included in the Special Warranty Deed, and shall run with the land and be binding upon First & Union and its successors and assigns. During the Term, the affordability covenant shall be evidenced by and recorded in a memorandum or regulatory agreement acceptable to the City, to ensure notice to and binding effect upon successors and lenders, and shall include City inspection and reporting rights as set forth herein.

5. Land Use Restriction Agreement This Property shall have a Land Use Restriction Agreement recorded against it within one hundred twenty (120) days of execution of this agreement which shall include at minimum an affordable housing period of not less than fifty (50) years restricting affordable housing to 60% area median income for 100% of the units. The Property shall maintain compliance with the Land Use Restriction Agreement and the Wyoming Community Development Authority or other applicable agency.

Failure to record an appropriate land use restriction agreement within one hundred twenty (120) days of execution of this agreement shall allow the City in its discretion to reenter and retake title to the Property in accordance with Section 23.

6. Use of Premises. During the Term, the Premises shall be used and occupied by First & Union solely for the purpose of the design, development, construction, operation, use, repair, and maintenance of the Affordable Housing Community and related improvements pursuant to the terms set forth in this Lease and the plans and specifications provided for the Affordable Housing Community (the “*Plans and Specifications*”). First & Union shall at all times during the Term operate the Affordable Housing Community in compliance with income, rent, and occupancy restrictions for households earning not more than sixty percent (60%) of area median income, subject to temporary reductions in available units due to events described in Section 4, with diligent efforts to restore compliance. First & Union shall deliver to the City, no later than ninety (90) days after each calendar year-end, an annual compliance certificate with rent rolls and income verification summaries evidencing compliance. First & Union shall not use or permit the Premises to be used for any other purpose without the prior written approval of the City, which consent may be withheld by the City in its reasonable discretion. First & Union shall not use or permit the Premises to be used for any purpose inconsistent with the Affordable Housing Community, including market-rate conversion, short-term rentals (less than thirty (30) days), hotel or transient use, or non-residential uses other than customary accessory uses. City shall have reasonable inspection rights during normal business hours upon two (2) business days’ notice to verify compliance (no more than once every six (6) months).

7. Improvements. First & Union has the right to construct, maintain, install, repair, secure, replace, remove and operate the Affordable Housing Community and related improvements on the Premises, including parking areas and to extend, enlarge, alter, remove, repair, replace or improve any structure or other improvement then existing on the Premises, as First & Union may deem desirable, subject to the terms of this Lease and all applicable federal, state, and local laws, ordinances, rules, regulations, permits, approvals, and land use requirements.

In connection therewith, First & Union has the right to do all work necessary to prepare, add, maintain and alter the Premises for the construction of the Affordable Housing Community and related improvements. All of First & Union's construction and installation work shall be performed at First & Union's sole cost and expense and in a good and workmanlike manner. All improvements constructed on the Premises by First & Union and all additions, alterations and improvements thereto shall remain the exclusive property of First & Union during the Term of this Lease. First & Union shall construct and install, at its sole cost and expense, all landscaping and irrigation improvements on the Premises required by the Plans and Specifications.

8. Parking. First & Union, and its employees, invitees and patrons, shall have the exclusive right to utilize all parking spaces on the Premises except those reasonably designated solely for use by the City, and may designate parking spaces specifically for exclusive use by First & Union on the Premises, subject to all applicable City parking regulations, requirements, permits, approvals, and enforcement authority.

9. Signs. First & Union shall have the right to erect, maintain and replace signs on the exterior of the Affordable Housing Community as First & Union may desire and in accordance with applicable ordinances.

10. Taxes. First & Union shall pay personal property taxes assessed against its personal property, if any, and the First & Union shall pay when due, all real property taxes and all other taxes, fees, and assessments attributable to the Premises or the Property, if any. The City makes no representation regarding tax exemptions or abatements. First & Union shall bear all risk of taxes, assessments, if any.

11. Termination. This Lease may be terminated without any further liability on sixty (60) days' prior written notice by either party upon a default of any covenant or term hereof by the other party, which default is not cured within ninety (90) days of receipt of written notice of default, except that this Agreement shall not be terminated if the default cannot reasonably be cured within such ninety (90) day period and the defaulting party has commenced to cure the default within such ninety (90) day period and diligently pursues the cure to completion. Notwithstanding the foregoing, in no event shall termination relieve First & Union of the affordable housing use and income restrictions set forth in Section 4, which shall survive and run with the land. If any lender, tax credit investor, housing agency, or other party with a recorded interest requires notice and cure rights, the City agrees to provide such notices and allow customary extended cure periods up to one hundred eighty (180) days (or longer if the default is not reasonably curable within such period and is being diligently cured), provided that affordability covenants remain in full force and effect.

12. Condemnation. If any portion of or interest in the Premises, including without limitation any portion of the buildings or improvements located thereon shall be condemned or taken by any public authority or by any other person or corporation under statute, by eminent domain or purchase in lieu thereof, and such condemnation or taking renders the Premises unsuitable in the judgment of First & Union for operation of the Affordable Housing Community (in First & Union's reasonable discretion), First & Union may terminate this Lease by giving notice

thereof to the City not later than ninety (90) days after possession is taken by the condemning authority, effective as of the date such notice is given. In such event, any prepaid but unearned Rent shall be refunded, but Rent previously earned and accrued for periods prior to the taking shall be retained by the City. If the Lease is not so terminated, the Lease shall continue in full force and effect. Whether or not this Lease is terminated as a result of any such condemnation or taking, all damages awarded as a result thereof shall belong to the City; provided that nothing herein contained shall prevent First & Union from claiming, collecting, and retaining any damages awarded for First & Union's building, fixtures and any improvements, loss of business or for any other damages compensable under the applicable laws of the jurisdiction in which the Premises are located. If condemnation is undertaken by the City, condemnation awards shall be allocated such that the City receives the portion attributable to the land and its reversionary/fee interest, and First & Union receives the portion attributable to its leasehold and improvements, fixtures, relocation, and business loss, as determined by law.

13. Damage or Destruction. Should any building on the Premises be damaged or destroyed by any cause whatsoever, First & Union will either (i) cause the commencement of reconstruction to the damaged or destroyed building within ninety (90) days after such damage and destruction and will thereafter cause such reconstruction to be diligently prosecuted to completion; or (ii) within ninety (90) days of the date of damage or destruction, commence the removal of such damaged building and thereafter diligently prosecute to completion the removal of the damaged building, the removal of all debris from the Premises. If insurance or other recovery is available in an amount sufficient to rebuild improvements of comparable utility for affordable housing, First & Union shall, subject to lender consent, apply such proceeds to restoration and shall not elect to terminate under this Section 13 without the City's prior written consent, not to be unreasonably withheld, conditioned or delayed. Use of proceeds and restoration plans shall be reasonably acceptable to the City to preserve long-term affordability. Notwithstanding the foregoing, should the buildings located from time to time on the Premises be damaged or destroyed in excess of fifty percent (50%) of the then existing replacement cost of such buildings, First & Union shall have the right within ninety (90) days from the date of such damage or destruction to elect to terminate this Lease by submitting written notice thereof to the City, in which event, First & Union shall remove the damaged building and remove all debris from the Premises within thirty (30) days after the date such notice of termination is given. Termination of this Lease pursuant to this Section 13 shall be effective as of the date notice is given.

14. Indemnification.

14.1. By First & Union. First & Union shall protect, defend, indemnify and hold the City harmless from and against any and all claims, debts, causes of action, demands, obligations, losses, liens, damages, judgments, including reasonable attorneys' fees and expenses or liabilities now or hereafter arising from First & Union's actions, errors or omissions in the use of the Premises, the design, development, construction, operation, maintenance, repair or management of the Affordable Housing Community or the conduct of its activities, work, or thing done or permitted by First & Union or any other person in or about the Premises and shall further protect, defend, indemnify, and hold the City harmless from and against any and all claims arising

from any breach or default in the performance of any obligation on the part of First & Union to be performed under the Lease, or arising from any act, error or omission of First & Union, or any of its agents, contractors, subcontractors, employees or invitees. The City shall promptly notify First & Union of any claim asserted with respect to which the City is or may be indemnified against hereunder.

14.2. By the City. To the extent permitted by Wyoming law, and subject to the Wyoming Governmental Claims Act, Wyo. Stat. Ann. §§ 1-39-101 through 1-39-121, and all applicable immunities, defenses, limitations of liability, and notice requirements, the City shall be responsible for claims, losses, damages, or liabilities to the extent caused by the negligent acts or omissions or willful misconduct of the City, its elected officials, officers, employees, or agents in connection with the City's obligations under this Lease. Nothing in this Lease shall be construed as a waiver of governmental immunity, an agreement to defend First & Union, or an agreement to indemnify First & Union for claims caused by First & Union or its agents, contractors, subcontractors, employees, tenants, invitees, successors, or assigns. Any monetary obligation of the City shall be subject to lawful appropriation and applicable constitutional and statutory limitations.

15. Insurance. First & Union agrees to maintain liability insurance against claims for bodily injury, death or property damage occurring on, in or about the Premises (including buildings on the Premises), with a bodily injury limit of not less than One Million Dollars (\$1,000,000) for total claims for any one occurrence and not less than One Million Dollars (\$1,000,000) property damage, or in lieu thereof, a "combined single limit" (covering bodily injury, liability and property damage) of not less than Two Million Dollars (\$2,000,000). Such insurance may be in the form of blanket liability coverage applicable to the Premises and other Premises occupied by First & Union. First & Union shall also maintain: (a) builder's risk insurance during construction in an amount not less than the full replacement cost of the improvements; and (b) property insurance after completion in an amount not less than the full replacement cost of the Affordable Housing Community and related improvements.

The policy of insurance maintained by First & Union pursuant to this paragraph shall insure the performance by First & Union of First & Union's agreement to indemnify the City, as set forth in the Section entitled "Indemnification." First & Union shall, upon request, provide the City with evidence of such insurance coverage. City shall be named as an additional insured on property insurance covering the Affordable Housing Community and improvements. Insurance policies shall include a standard loss payee clause in favor of the City and provide that proceeds for property damage are applied first to restoration of the improvements, unless the parties otherwise agree in writing pursuant to Section 13. First & Union shall receive all insurance proceeds if property damage occurs.

16. Assignment. First & Union may assign this Lease or sell or otherwise transfer the Affordable Housing Community and related improvements to a third-party only with the City's prior written consent, not to be unreasonably withheld, conditioned or delayed, subject to such third party's assumption of First & Union's obligations under this Lease. City's consent may be withheld if the proposed assignee lacks demonstrable experience operating LIHTC or comparable

affordable housing, is not in good standing, or cannot reasonably demonstrate capacity to comply with affordability covenants. Notwithstanding the foregoing, no consent shall be required for a collateral assignment to a lender or admission of an investor member/limited partner in connection with tax credit financing, provided City receives notice and customary limited cure rights for such parties. The City may assign this Lease or transfer its interest to another governmental entity or public instrumentality, provided such transferee assumes the City's obligations and the public purpose and affordability covenants remain in full force.

17. Sublease. First & Union may not sublease all or any portion of the Premises without the written consent of the City, which consent shall not be unreasonably withheld. Any approved sublease shall be expressly subordinate to this Lease, require compliance with all affordability and use restrictions, and grant the City equivalent inspection, reporting, and enforcement rights. No master sublease of substantially all units shall be permitted if it would frustrate City's rights or compliance oversight. Leases to tenants of the Affordable Housing Community shall not be subject to this Section 17.

18. Title and Quiet Enjoyment.

18.1. The City represents and warrants that (i) it has full right, power and authority to execute this Agreement, (ii) First & Union may peacefully and quietly enjoy the Premises and such access thereto throughout the term of this Lease, provided that First & Union is not in default hereunder after notice and expiration of all cure periods, (iii) it has obtained all necessary approvals and consents, and has taken all necessary action to enable the City to enter into this Lease in its proprietary capacity as owner of the Property, and allow First & Union to construct and operate the Affordable Housing Community and related improvements on the Premises, including without limitation, approvals and consents within the City's authority; provided, however, that nothing in this Lease shall constitute approval of any zoning, subdivision, building permit, utility, engineering, fire, stormwater, traffic, licensing, or other regulatory approval, and the City does not waive or limit its governmental, police power, permitting, inspection, enforcement, or regulatory authority. For the avoidance of doubt, City makes no representation regarding approvals of other governmental authorities, which remain the responsibility of First & Union; and (iv) the Premises and access rights are free and clear of all liens, encumbrances and restrictions except those noted as exceptions on the Title Commitment (as defined below) as of the Effective Date.

18.2. In the event of a violation of the warranties of this Section 18.1, First & Union shall give written notice of the alleged violation to the City, and if the City fails to cure such violation within thirty (30) days after the City's receipt of such notice, or such longer period as may be reasonably necessary so long as the City commences the cure within such thirty (30) day period and diligently pursues the cure to completion, First & Union may take reasonable action necessary to cure such violation on behalf of the City. In the event that First & Union elects to exercise its rights described above, any reasonable and documented costs actually incurred by First & Union in curing such violation, together with interest thereon at the rate of the long-term Applicable Federal Rate (AFR), based on annual compounding, shall be paid by the City to First

& Union upon demand. In no event shall consequential, special, or punitive damages be recoverable for a breach of Section 18.1.

19. Title Commitment. Prior to the Effective Date, the City has previously delivered or caused to be delivered to First & Union, a Commitment for Title Insurance for an ALTA standard leasehold policy relating to the Premises (the “**Title Commitment**”), issued by _____ Title Company, and copies of documents evidencing each exception listed in the Title Commitment. By its signature below, First & Union hereby acknowledges receipt of the Title Commitment. First & Union shall obtain as of the Effective Date, at its sole cost and expense, a leasehold title policy to insure First & Union’s leasehold interest in the Premises.

20. Development Milestones. First & Union shall use commercially reasonable efforts to obtain all financing, tax credit, land use, building permit, and other approvals necessary for the Affordable Housing Community. Unless extended by the City in writing, First & Union shall: (a) close on construction financing and obtain all material permits necessary to commence construction within twenty-four (24) months after the Effective Date; (b) commence vertical construction within thirty (30) months after the Effective Date; and (c) substantially complete the Affordable Housing Community and place the units in service within forty-eight (48) months after the Effective Date. Failure to satisfy any milestone, after written notice from the City and a ninety (90) day opportunity to cure, shall constitute a material default; provided that the City shall not unreasonably withhold an extension where delay is caused by force majeure, governmental permitting delays not caused by First & Union, lender or tax credit requirements, or other circumstances beyond First & Union’s reasonable control.

21. Connection of Utilities. First & Union, shall at its sole cost and expense, extend or cause to be extended all utilities from the boundaries of the Premises onto and over the Premises for First & Union's use, and shall be responsible for and shall pay all service fees relating to First & Union’s construction of the Affordable Housing Community, or any other improvement, alteration or repair in or upon the Premises, including any required on-site and off-site extensions and capacity upgrades attributable to the Affordable Housing Community.

22. Utility Payments. First & Union shall be solely responsible for and shall pay separately for all charges for Utilities used or consumed at the Premises during the Term of the Lease. First & Union shall make any necessary arrangements to have such services or Utilities billed to and directly paid by First & Union. Tenant shall establish separate metering for all utilities serving the Premises to the extent feasible. “**Utilities**” means all utilities and services furnished to the Premises, including without limitation, gas, electricity, water, sewer, storm water, garbage collection and telephone service.

23. Ownership of Affordable Housing Community and Other Improvements, and Right of Reversion. So long as this Lease or any lease given in substitution for it remains in force, any building, structure or other improvement constructed by First & Union on the Premises shall be owned in fee simple by First & Union or its assignee. All buildings, structures and improvements constructed by First & Union upon the Premises shall revert to and become the property of the City immediately upon the termination of this Lease, if First & Union is in default of this Lease at the time of termination, provided that for any non-monetary default or material violation of the

affordable housing use restriction or other affordability/use covenants, First & Union shall have no right to avoid such reversion by prepaying Rent after expiration of the applicable notice and cure periods. For a monetary default consisting solely of unpaid Rent, First & Union may avoid such reversion by paying all sums due under this Lease within thirty (30) days after notice from the City. First & Union shall execute and deliver to the City such instruments of conveyance or other documents as may be necessary or desirable to effect, evidence, or confirm said ownership in the City. Notwithstanding anything to the contrary herein, the provisions of this Section shall be subject to First & Union's rights, if any, to remove its fixtures and personal property prior to Lease termination.

24. Hazardous Waste. As of the Effective Date of this Agreement: (1) First & Union hereby represents and warrants that it shall not use, generate, handle, store or dispose of any Hazardous Material in, on, under, upon or affecting the Premises in violation of any applicable law or regulation, and (2) the City hereby represents and warrants that (i) it has no knowledge of the presence of any Hazardous Material located in, on, under, upon or affecting the Premises in violation of any applicable law or regulation; (ii) no notice has been received by or on behalf of the City from any governmental entity or any person or entity claiming any violation of any applicable environmental law or regulation in, on, under, upon or affecting the Premises; and (iii) it will not permit itself or any third party to use, generate, handle, store or dispose of any Hazardous Material in, on, under, upon, or affecting the Premises in violation of any applicable law or regulation. Within ninety (90) days after the Effective Date, First & Union may perform, at its expense, a Phase I environmental site assessment; if recommended, a Phase II may be performed with City consent (not to be unreasonably withheld). Findings shall inform allocation of pre-existing conditions under this Section 24. Without limiting Section 13, the City and First & Union shall each indemnify, defend and hold the other harmless from and against all losses (specifically including, without limitation, attorneys', engineers', consultants' and experts' fees, costs and expenses) arising from (i) any breach of any representation or warranty made in this Section 24 by such party; and/or (ii) environmental conditions or noncompliance with any applicable law or regulation that result, in the case of First & Union, from operations in or about the Premises by First & Union or First & Union's agents, employees or contractors, and in the case of the City, from Hazardous Materials introduced to the Premises by the City or the City's agents, employees, or contractors after the Effective Date, or from the City's knowing and material misrepresentation regarding environmental conditions existing as of the Effective Date. The City shall not be responsible for environmental conditions first discovered by First & Union unless caused by the City or unless the City had actual knowledge of such condition and failed to disclose it. First & Union's obligation shall include any Hazardous Materials introduced, exacerbated, released, disturbed, or migrated as a result of First & Union's development, construction, operation, maintenance, repair, or use of the Premises. The provisions of this Section 24 shall apply as of the Effective Date of this Agreement and survive termination of this Agreement. "**Hazardous Material**" means any solid, gaseous or liquid wastes (including hazardous wastes), regulated substances, pollutants or contaminants or terms of similar import, as such terms are defined in any applicable environmental law or regulation, and shall include, without limitation, any petroleum or petroleum products or by-products, flammable explosives, radioactive materials, asbestos in any form, polychlorinated biphenyls and any other substance or material which constitutes a threat to

health, safety, property or the environment or which has been or is in the future determined by any governmental entity to be prohibited, limited or regulated by any applicable environmental law or regulation.

25. Repair and Maintenance. First & Union shall, during the term of this Lease, at its own cost and expense and without any cost or expense to the City, keep and maintain the Premises, including the Affordable Housing Community and all landscaping located within the Premises, in good repair and condition, ordinary wear and tear excepted, and in a neat and orderly appearance.

26. Snow Removal. First & Union shall be responsible for snow removal on the Premises.

27. Notices. Any notices to be given by either party to the other may be effected either by personal delivery in writing or by mail, registered or certified, postage prepaid with return receipt requested. Mailed notices are to be addressed to the parties at the addresses below:

If to First & Union:

First & Union, LP
Attn: Kipling Sheppard
595 S. Riverwoods Parkway, Suite 140
Logan, UT 84321

If to the City:

Attn: _____

Either party may change its address by written notice in accordance with this Section 27. Notices delivered personally shall be deemed communicated as of actual receipt; mailed notices shall be deemed communicated upon three (3) business days after deposit in the United States mail, certified or registered, postage prepaid, return receipt requested, whichever occurs first.

28. Memorandum of Lease. A Memorandum of Lease shall be recorded by First & Union, in the office of the Laramie County Recorder, confirming the (i) effectiveness of this Lease, (ii) expiration date of the Term, and/or (iii) other reasonable terms consistent with this Lease. The Memorandum shall expressly reference and incorporate the affordability use restriction, , assignment consent requirements, audit rights under Section 3, and notice/cure rights, and shall be executed and recorded contemporaneously with this Lease.

29. Waiver. A waiver by any party of any provision hereof, whether in writing or by course of conduct or otherwise, shall be valid only in the instance for which it is given, and shall not be deemed a continuing waiver of said provision, nor shall it be construed as a waiver of any other provision hereof.

30. Paragraph Headings. The paragraph headings of this Agreement are inserted only for convenience and in no way define, limit or describe the scope or intent of this Agreement nor affect its terms and provisions.

31. Governing Law and Venue. This Agreement, and all matters relating hereto, including any matter or dispute arising out of the Agreement, shall be interpreted, governed, and enforced according to the laws of the State of Wyoming. Venue shall lie exclusively in state courts

located in Laramie County, Wyoming. Nothing herein waives the City's governmental or sovereign immunities, defenses, or limitations of liability.

32. Dispute Resolution. Claims, disputes, or other matters in question solely between the City and First & Union and arising out of or relating to this Agreement or breach hereof shall first be addressed by the parties through good-faith discussions in an effort to resolve the matter without litigation. If the parties are unable to resolve the claim, dispute, or other matter through such good-faith discussions, either party may pursue litigation in a court as provided by Section 31; provided, however, that the City shall retain all rights and immunities under Wyoming law. Notwithstanding the foregoing, the City may seek temporary, preliminary, or permanent injunctive relief to enforce affordability and use restrictions at any time. To the fullest extent permitted by applicable law, the City and First & Union hereby irrevocably and unconditionally waive any and all right to trial by jury in any legal action, proceeding, or counterclaim arising out of, in connection with, or relating to this Lease. This waiver applies to any claims based on contract, tort, or otherwise. Each party acknowledges that this waiver is a material inducement to enter into this lease and that they have had the opportunity to seek independent legal counsel regarding this provision. Nothing herein limits the City's right to pursue administrative enforcement available under law. Nothing contained in this Section, including this jury trial waiver, shall be construed as a waiver or limitation of any governmental immunity, defense, or limitation of liability available to the City.

33. Amendments. This Agreement may be amended at any time upon mutual agreement of the parties hereto, which amendments must be reduced to writing and signed by both parties in order to become effective.

34. Entire Agreement. This Agreement constitutes and represents the entire agreement of the parties hereto with respect to the subject matter hereof, and all other prior agreements, covenants, promises and conditions, verbal or written, between these parties are superseded and of no further force or effect, except to the extent expressly incorporated into this Lease by reference. No party hereto has relied upon any other promise, representation or warranty, other than those contained herein, in executing this Agreement.

[THIS SECTION INTENTIONALLY LEFT BLANK]

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the day and year first above written.

FIRST & UNION:

FIRST & UNION APARTMENTS, LP
A Utah Limited Partnership

By: _____
[Name], [Title]

CITY:

ATTEST:

CITY OF CHEYENNE, WYOMING

Kylie Soden, City Clerk

By: _____
Patrick Collins, Mayor

EXHIBIT "A"
MAP OF PREMISES

AERIAL PHOTOGRAPH

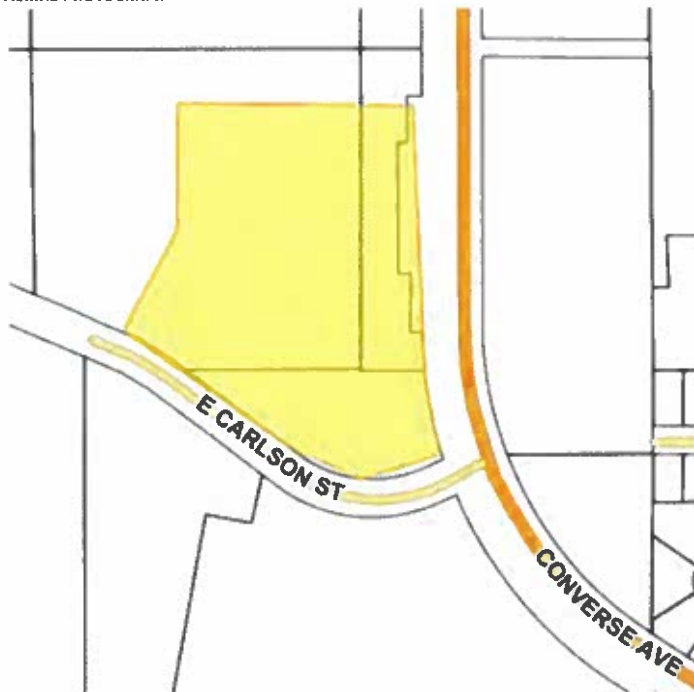


EXHIBIT “B”

LEGAL DESCRIPTION OF PREMISES

Lot 1 Block One of Scenic Development 8th filing, a portion of Section 20, Township 14 North, Range 66 West of the 6th P.M. Laramie County, Wyoming